Table 9.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	55% up	45% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 58%, M 43%, H 40%	L –17%, M –14%, H –12%
Throwbacks/pullbacks occurrence	68%	63%
Average time to throwback/pullback peaks	6% in 6 days	–6% in 6 days
Average time to throwback/pullback ends	12 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	39%	–13%
Average rise/decline for patterns without throwbacks/pullbacks	50%	–16%
Percentage price resumes trend	72%	48%
Performance with breakout day gap	48%	–16%
Performance without breakout day gap	42%	–14%
Average gap size	$0.50	$0.40

Notice that performance improves if a throwback or pullback *does not* occur.

After a throwback or pullback completes, we see that price resumes trending upward after an upward breakout but struggles to drop after a downward breakout. Be careful shorting this pattern after a downward breakout. A pullback may see price drop as far as it's going to.

Gaps. Regardless of the breakout direction, a breakout day gap helps performance. That's good news. Why? Because I measured performance from the opening price the day *after* a gap to the ultimate high or low. Thus, you can buy into the situation after you see a gap and participate in the better-performance party.

Table 9.5 shows size-related statistics.